

LG Electronics Inc. (LG Electronics)

TICKER
66570

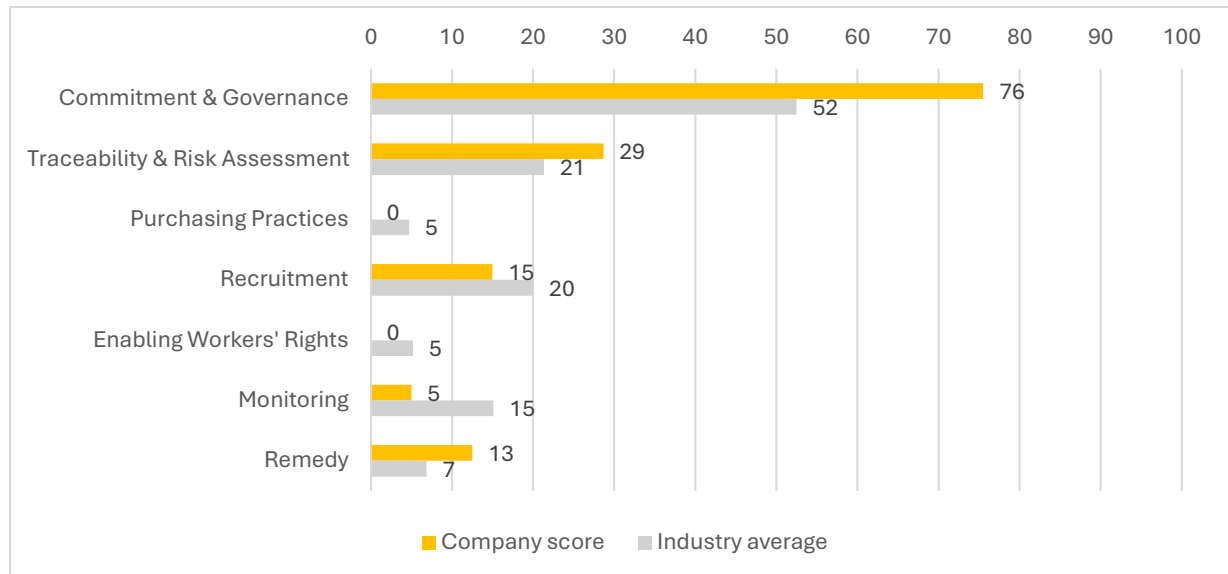
MARKET CAPITALISATION
US\$16.2 billion

HEADQUARTERS
South Korea

DISCLOSURES

UK Modern Slavery Act: [Yes \(Disclosure of Subsidiary\)](#)

California Transparency in Supply Chains Act: Not applicable

Australia Modern
Slavery Act: [Yes
\(Disclosure of
Subsidiary\)](#)
OVERALL RANKING
12 out of 45
[2022 Rank](#): 28 out of 60¹
OVERALL SCORE
24 out of 100
THEME-LEVEL SCORES

KEY DATA POINTS
FIRST-TIER SUPPLIER LIST
 No

RISK ASSESSMENT
 No

ENGAGED WITH KNOWTHECHAIN²

Yes

NO-FEE POLICY
 Yes (Employer Pays Principle)

REMEDY FOR SUPPLY CHAIN WORKERS

Yes (Limited)

HIGH-RISK SOURCING COUNTRIES³
 Not disclosed

SUMMARY

LG Electronics Inc. (LG Electronics), a consumer electronics company, ranks 12th out of 45 companies. Compared to 2022, the company improved its score by 10 points. This is because the company adopted version 8 of the RBA Code of Conduct, which removes limitations on the right to freedom of association and collective bargaining, and began disclosing the following: board oversight of supply chain forced labour policies, countries from which it sources 3TG, forced labour risks identified as part of its human rights risk assessment process, the proportion of its supply chain workers who are women, and an example of fee remediation for supply chain workers. The company scores higher than average on the themes of Commitment & Governance, Traceability & Risk Assessment, and Remedy and lower than average across other themes. KnowTheChain identified one allegation of forced labour in the company's supply chains, related to alleged Uyghur forced labour. However, the company does not disclose the steps it has taken to address the risks of alleged Uyghur forced labour across raw materials and supply chain tiers.

The company is encouraged to improve its performance and disclosure on the themes of Purchasing Practices, Recruitment and Enabling Workers' Rights.

LEADING PRACTICES

None.

OPPORTUNITIES FOR IMPROVEMENT

Purchasing Practices: While the company includes explicit prohibitions on the use of forced labour in its contracts with suppliers and its supplier code, and incentives for suppliers based on compliance, the company is encouraged to adopt purchasing practices that decrease the risk of forced labour, such as improving planning and forecasting and prompt payment, and disclose quantitative data evidencing the implementation of responsible purchasing practices. The company is further encouraged to take steps to ensure that pricing includes the full cost of production, including a living wage/income, and may consider ring-fencing labour costs such that they are not impacted during pricing negotiations. The company should consider integrating [responsible buying practices in its contracts](#) with suppliers, to ensure that the responsibility for respecting human rights is shared.

Recruitment: While the company has a policy that prohibits worker-paid recruitment fees, and has demonstrated limited evidence of repayments to workers, the company may further consider disclosing how it prevents fees being charged in the first instance, such as through mapping of migration corridors and labour agencies used by suppliers, specialised monitoring for fees, and evidence of supplier payment of fees to labour agencies directly; and provide evidence of payment of recruitment-related fees by suppliers. The company is also encouraged to provide details of how it supports responsible recruitment in its supply chains.

Enabling Workers' Rights: While the company has established a grievance channel to report select human rights issues, it is unclear whether supply chain workers, their representatives and other relevant stakeholders, such as worker organisations or labour NGOs are practically able to file grievances related to forced labour. To prevent and address forced labour risks in its supply chains, the company may consider ensuring that a formal and effective mechanism

to report grievances regarding labour conditions is available and communicated to these stakeholders. Further, the company is encouraged to take steps to ensure that workers in its supply chains are able to exercise their rights to freedom of association and collective bargaining.

¹ The number of companies assessed in the ranking has decreased from 60 in 2022 to 45 in 2025.

² Research conducted through September 2024 or through December 2024, where companies provided additional disclosure or links. For more information, see the full dataset [here](#). For information on a company's positive and negative human rights impact, see the Business & Human Rights Resource Centre [website](#).

³ For further details on high-risk raw materials and sourcing countries, see KnowTheChain's [2025 ICT benchmark findings report](#).